

Retail Research	IPO Note
Sector: Power - Solar	Price Band (Rs): 442 – 465
16 th September 2025	Recommendation: SUBSCRIBE

Saatvik Green Energy Ltd.

Company Overview:

Saatvik Green Energy Ltd. (SGEL) is engaged in manufacturing of solar photovoltaic (PV) module in India with an operational capacity of ~3.8 gigawatt (GW) as of Jun'25. As on date, the operational capacity stands at 4.8 GW post commissioning of an additional 1 GW capacity at one of the facilities in Ambala, Haryana. SGEL is one of the few companies with capabilities in module manufacturing as well as Engineering, Procurement and Construction (EPC) and Operations and Management (O&M). As of Mar'25, the company had an installed EPC base of ~69.1 MW. SGEL's solar energy products include monocrystalline passive emitter and rear cell (Mono PERC) modules and N-TopCon solar modules. The company has three module manufacturing facilities in Ambala, Haryana with an operational capacity of 4.8 GW and is in process of establishing a manufacturing capacity in Odisha. The company sells solar PV modules through a combination of direct sales to large-scale solar project developers and via distribution networks to smaller customers, including residential and commercial users.

Key Highlights:

1. Leading integrated module manufacturer: SGEL is one of the few companies in module manufacturing as well as EPC and O&M services. The company's in-house capabilities include manufacturing, private labelling, scale production, technical support and customer service and quality control. The integrated approach allows SGEL to deliver end-to-end solutions that meet the diverse needs of the customer base. As of Mar'25, the company had completed 12 solar power projects with an aggregate capacity of 69.1 MW. The company's Ambala facility provides a locational advantage resulting in better connectivity to key markets across North, Central, West and East India.

2. Healthy expansion plans: The company is in the process of setting up an integrated cell and module manufacturing facility in Odisha which would include a cell line manufacturing capacity of 4.8 GW, expected to be operational by FY27; and a module production capacity of 4 GW, expected to be operational in FY26. Additionally, a manufacturing facility for the production of ingots, cells and wafers in Mohasa – Babai, Madhya Pradesh is being planned to be established.

3. Diversified clientele: The company has a diversified client base across geographies with presence in various segments namely large utility, commercial and industrial open access, residential rooftop and solar pump. In addition to a large customer base in India, SGEL has established a large customer base globally and the products are sold in the United States, Canada and Seychelles. This translates into a substantial total order book of solar modules which stood at 4.05 GW as of Jun'25.

Valuation: At the upper price band of Rs 465, SGEL is valued at FY25 P/E multiple of 27.6x based on its post-issue capital. The company is one of the leading manufacturers of solar PV modules in India, with an aggregate installed capacity of 4.8 GW. Going forward, the company will set up an integrated cell and module manufacturing facility in Odisha with cell line manufacturing capacity of 4.8 GW (expected to be operational by FY27) and a module production capacity of 4 GW (expected to be operational by FY26). Historically, SGEL recorded a CAGR of 88%/365%/572% in Revenue/EBITDA/PAT respectively during the FY23-FY25 period, showcasing the company's robust financial performance. We recommend investors to SUBSCRIBE to the issue at cut-off price.

Issue Details	
Date of Opening	19 th September 2025
Date of Closing	23 rd September 2025
Price Band (Rs)	442 - 465
Issue Size (Rs cr)	900
Fresh Issue (Rs cr)	700
Offer for Sale (Rs cr)	200
No. of shares (@ upper band)	1,93,54,839
Face Value (Rs)	2
Post Issue Market Cap (Rs cr)	5,652 – 5,910
BRLMs	DAM Capital Advisors Ltd., Ambit Pvt. Ltd., Motilal Oswal Investment Advisors Ltd.
Registrar	KFin Technologies Ltd.
Bid Lot	32 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%
Employee Discount	Rs 44 per share

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Prepayment or scheduled re-payment, in full or in part, of all or a portion of certain outstanding borrowings availed by the company	10.8
Investment in wholly owned subsidiary, Saatvik Solar Industries Private Limited, in the form of debt or equity for repayment/prepayment of borrowings, in full or in part, of all or a portion of certain outstanding borrowings availed by the subsidiary	166.4
Investment in wholly owned subsidiary, Saatvik Solar Industries Private Limited, for setting up of a 4 GW solar PV module manufacturing facility Odisha	477.2
General corporate purposes*	-
Total proceeds from fresh issue*	-

**To be finalised upon determination of the Issue Price and updated in the Prospectus prior to filing with the RoC. The amount utilised for general corporate purposes shall not exceed 25% of the Gross Proceeds.*

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	10,08,92,970	90.0
Public & Others	1,11,54,030	10.0
Total	11,20,47,000	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	9,65,91,895	76.0
Public & Others	3,05,08,869	24.0
Total	12,71,00,763	100.0

Source: RHP, SSL Research

Key Financials

Particulars (Rs cr)	FY23	FY24	FY25
Revenue from Operations	608.6	1,088.0	2,158.4
EBITDA	14.8	147.6	319.9
PAT	4.7	100.5	213.9
EBITDA Margin (%)	2.4	13.6	14.8
PAT Margin (%)	0.8	9.2	9.9
RoE (%)	23.4	83.3	63.4
RoCE (%)	10.5	38.0	40.6
P/E (x)*	1,098.0	51.9	24.4
EV/EBITDA (x)*	360.2	37.0	17.7
P/BV (x)*	257.0	43.2	15.4
Total Debt / Equity	7.1	2.2	1.4

Source: RHP, SSL Research

*Note: Pre-issue P/E (x), P/BV (x) and EV/EBITDA (x) based on upper price band

Risk Factors

- **Regulatory risk:** The solar industry in India is heavily influenced by government policies and regulatory frameworks. Any changes in these policies, such as reductions in subsidies, incentives or alterations in tariffs, import duties and tax benefits, could adversely affect the demand for solar modules and cells.
- **Competitive dynamics:** The solar manufacturing sector in India is highly competitive with numerous domestic and international players. This increased competition could lead to price reductions, reduced margins and loss of market share, thereby impacting the company's profitability.
- **Customer concentration:** SGEL derived ~57.8% of its revenue from top 10 customers in FY25. The loss of revenue from any of these customers could have a material adverse effect on the business and profitability.
- **Supply chain disruptions:** As part of the manufacturing process, the company purchase raw materials which include solar PV cells, backsheet, encapsulant and glass. Any disruption in supply chain due to geopolitical or market developments may hinder business operations.

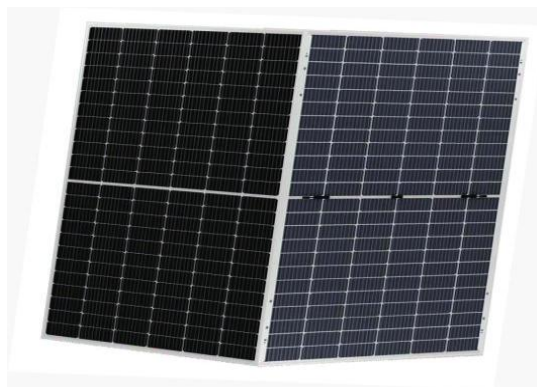
Growth Strategies

- Backward integration into cell manufacturing to reduce dependency on external suppliers.
- Focus on growing share of export sales and EPC services internationally while expanding customer base in India and internationally.
- Continue to develop and reinforce technology to manufacture quality modules.
- Expand distribution network across India and create retail brand for solar panels.

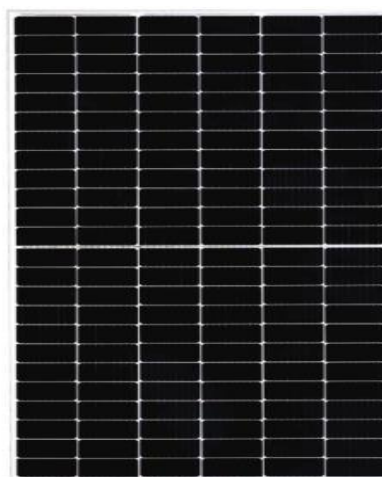
Product Portfolio



Mono PERC Modules



Bifacials Modules



N-TopCon Modules

Source: RHP, SSL Research

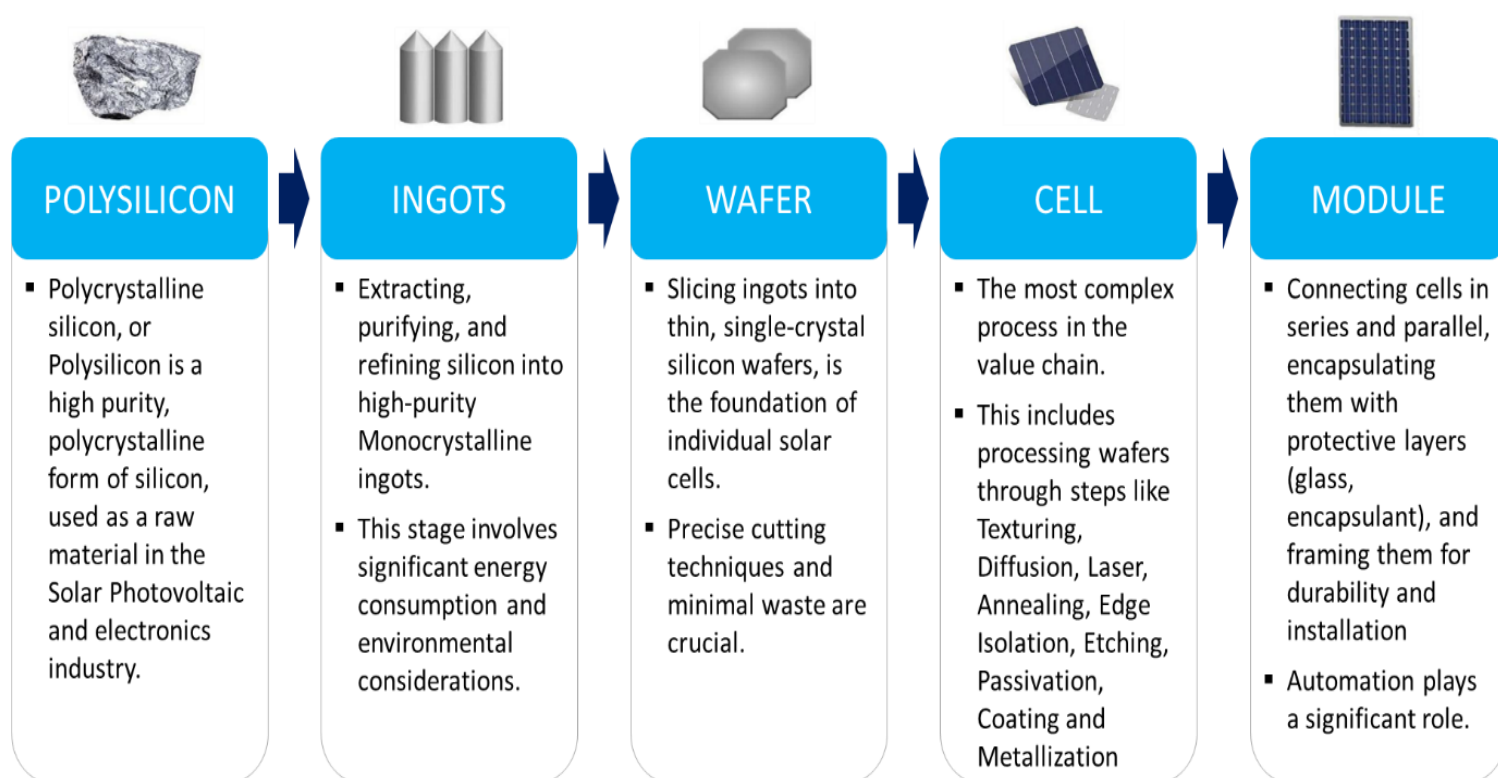
Manufacturing Facilities

Set out below are certain images of the Ambala Facilities:



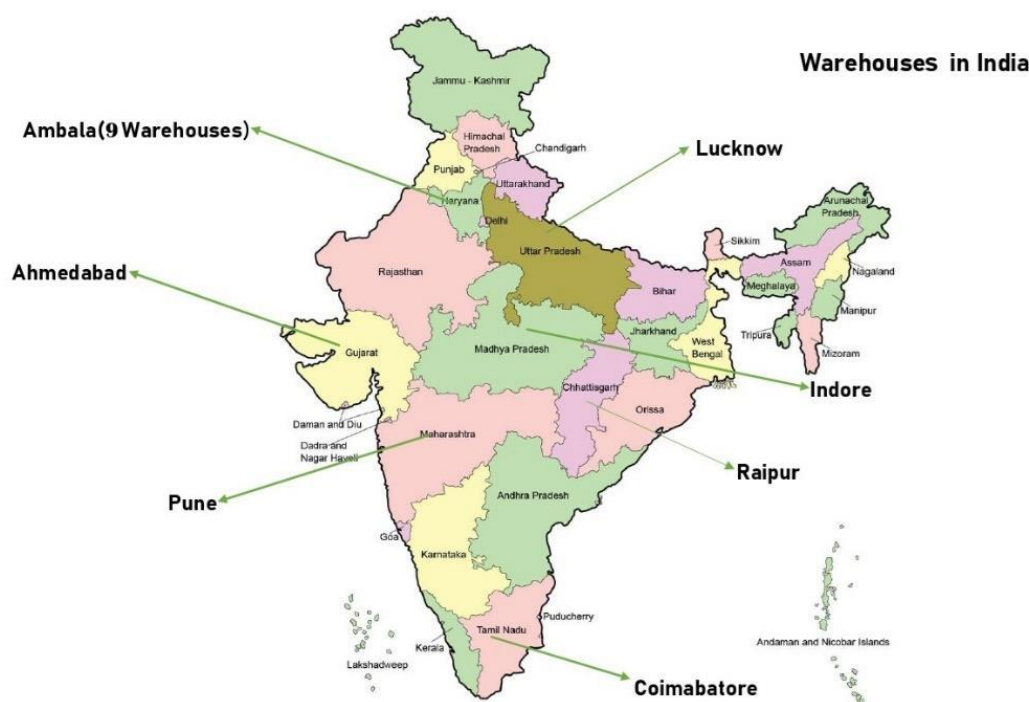
Source: RHP, SSL Research

Solar PV Value Chain

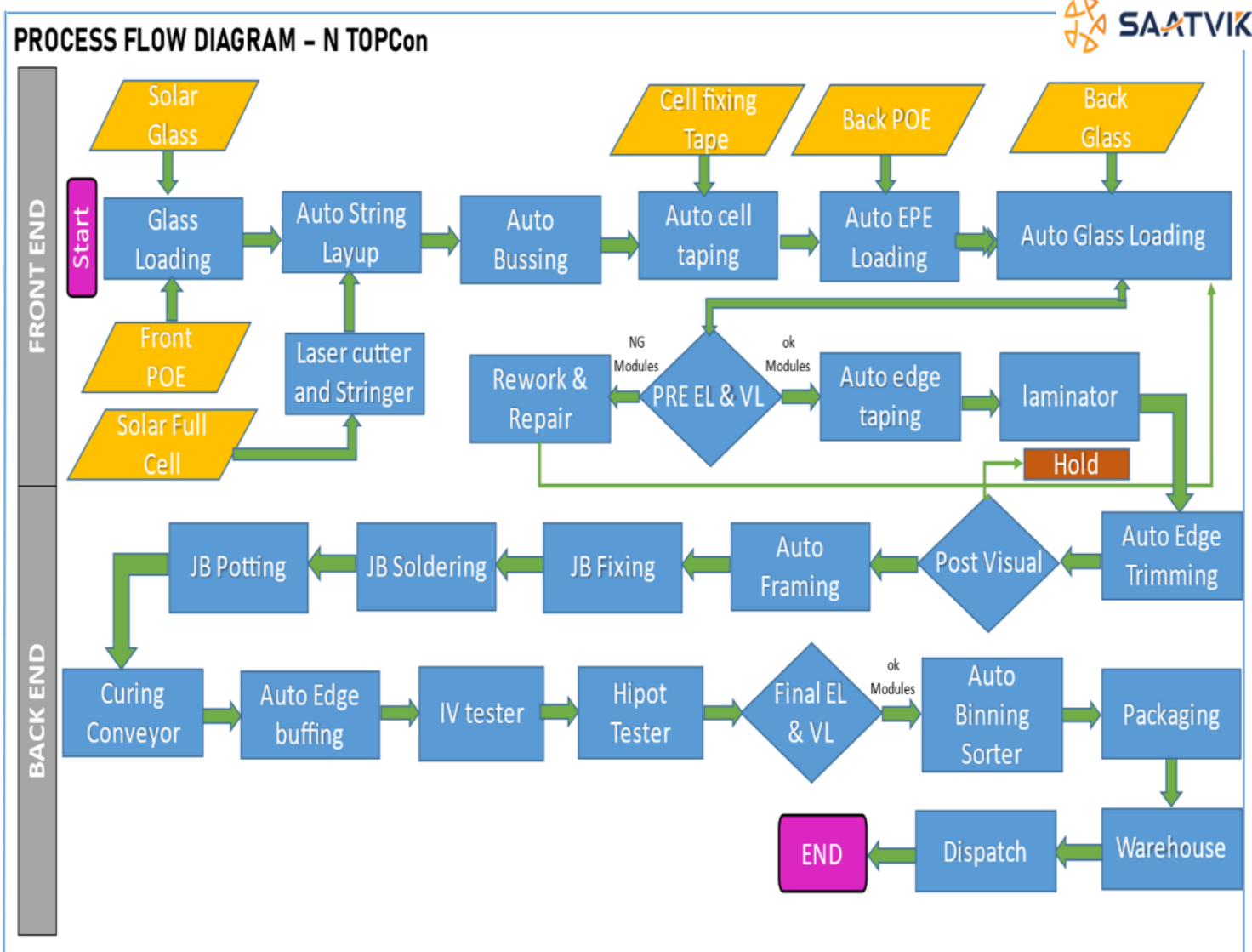


Source: RHP, SSL Research

Warehousing Facilities

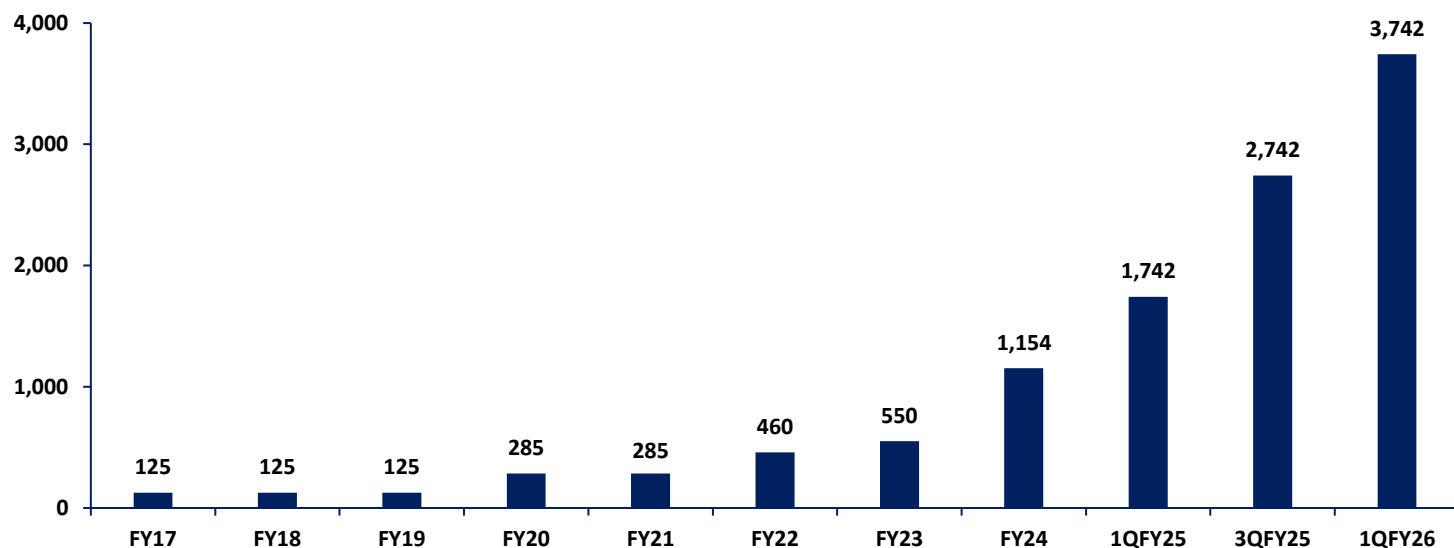


Manufacturing Process



Source: RHP, SSL Research

Module Manufacturing Capacity Trend (in MW)



Source: RHP, SSL Research

Operational Metrics

Particulars	FY23	FY24	FY25
Installed Capacity (MW)	550	1,154	3,742
Effective installed capacity (MW)	510	566	1,744
Actual production solar module (MW)	249	501	1,459
Capacity Utilization (%)	48.8	88.5	83.7
Total Order book (in Rs cr)	686	560	5,077
Total Order book (MW)	223	300	3,522
Total Sales (MW)	243	459	1,388

Source: RHP, SSL Research

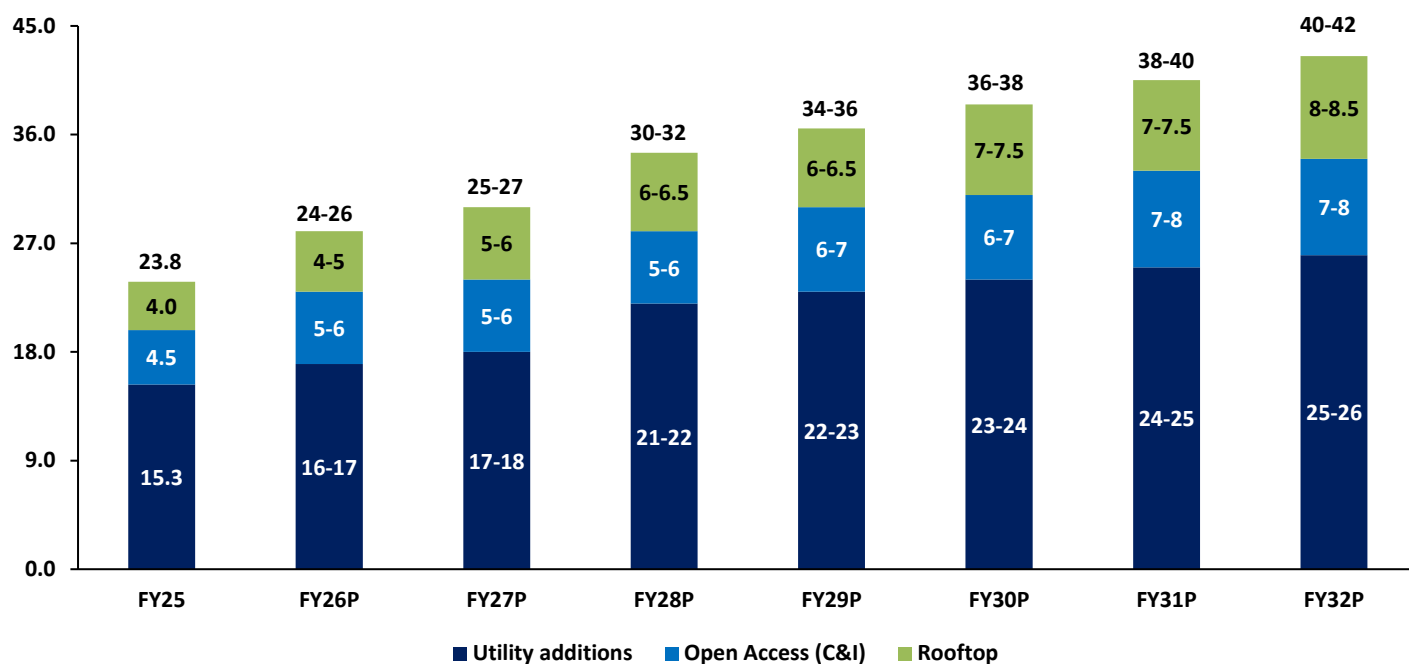
Revenue Split

Particulars	FY23		FY24		FY25	
	Rs cr	as % of revenue	Rs cr	as % of revenue	Rs cr	as % of revenue
Sale of Products (net)	608	99.9	928	85.3	2,085	96.6
Sale of Services	0.5	0.1	160	14.7	74	3.4
Other Operating Revenue	0.0	0.0	0.1	0.0	-	0.0
Total	609	100.0	1,088	100.0	2,158	100.0

Source: RHP, SSL Research

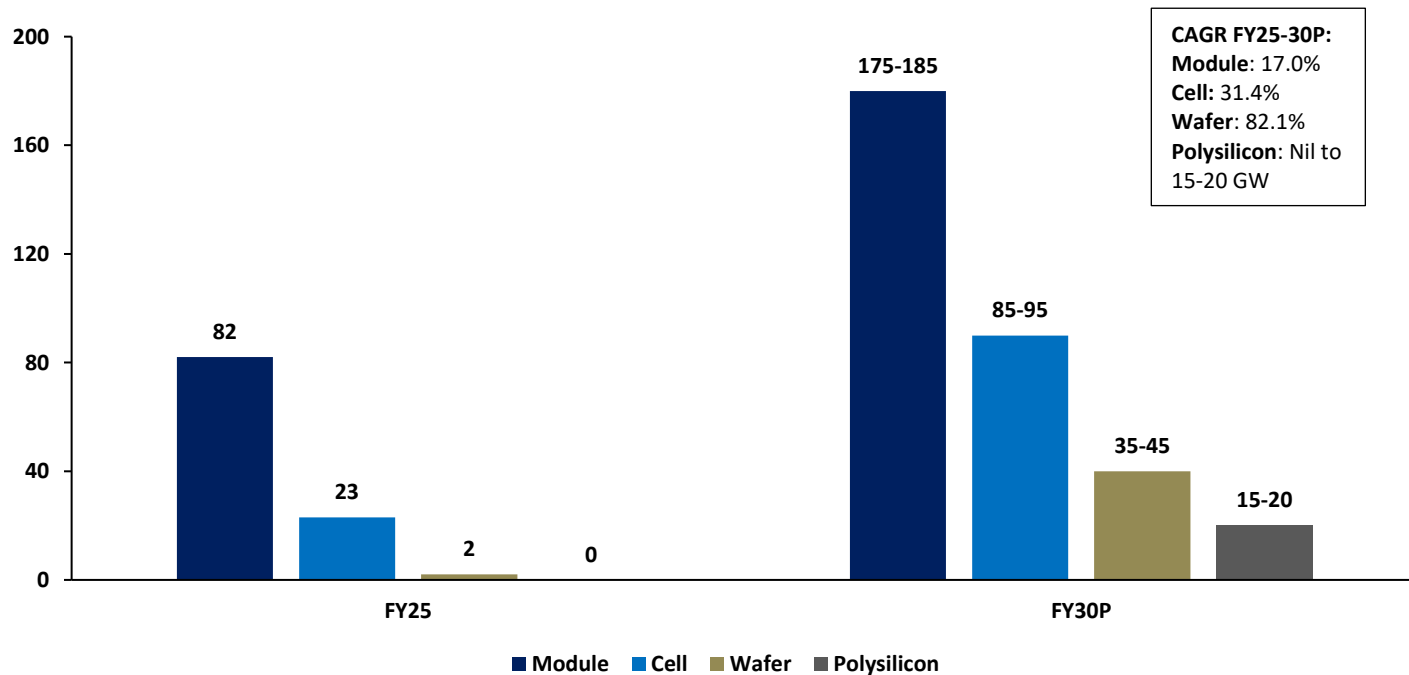
Industry Overview

Year wise Expected Solar Capacity Addition in India, FY25-32P (in GW)



Source: RHP, SSL Research

Indian Solar Module, Cell, Wafer, Polysilicon Manufacturing Capacity, FY25-30P (in GW)



Source: RHP, SSL Research

Key domestic solar module manufacturers with capacity (as of Mar'25)

Name	Installed capacity (MW)
Waaree Energies Ltd.	13,300*
Goldi Solar Pvt. Ltd.	10,700
Emmvee Photovoltaic Power Pvt. Ltd.	7,800
ReNew Photovoltaics Pvt. Ltd.	6,400
Rayzon Solar Pvt. Ltd.	6,000
Premier Energies Photovoltaic Ltd	5,100
Tata Power Renewable Energy Ltd.	4,900
Vikram Solar Ltd.	4,500
Mundra Solar PV Ltd. (Adani)	4,000
Saatvik Green Energy Ltd.	3,742
First Solar	3,300
Renewsys India Pvt. Ltd	3,100

Source: RHP, SSL Research

*Including 1.3 GW of Indosolar

Financial Snapshot

INCOME STATEMENT			
Particulars (Rs cr)	FY23	FY24	FY25
Revenue from Operations	609	1,088	2,158
YoY growth (%)	-	78.8%	98.4%
Cost of Materials Consumed	541	825	1,594
Gross Profit	67	263	564
Gross margin (%)	11.1%	24.1%	26.1%
Employee Cost	10	17	59
Other Operating Expenses	42	98	185
EBITDA	15	148	320
EBITDA margin (%)	2.4%	13.6%	14.8%
Other Income	9	9	34
Interest Exp.	11	14	42
Depreciation	7	11	31
PBT	7	132	280
Exceptional item/Extraordinary item	-	-	-
Tax	2	31	66
PAT	5	100	214
PAT margin (%)	0.8%	9.2%	9.9%
EPS	0.4	9.0	19.1

BALANCE SHEET			
Particulars (Rs cr)	FY23	FY24	FY25
Assets			
Net Block	41	101	259
Capital WIP	-	33	2
Right of use assets	9	16	60
Other Non-current Assets	7	30	53
Current Assets			
Current Investment	-	10	-
Inventories	132	221	650
Trade receivables	21	177	400
Cash and Bank Balances	13	17	8
Short-term loans and advances	2	2	8
Other Current Assets	38	82	195
Total Current Assets	206	508	1,261
Current Liabilities & Provisions			
Trade payables	67	184	559
Other current liabilities	11	63	186
Short-term provisions	-	12	14
Total Current Liabilities	78	260	759
Net Current Assets	128	248	502
Total Assets	185	428	876
Liabilities			
Share Capital	3	3	22
Reserves and Surplus	17	117	315
Total Shareholders' Funds	20	121	338
Minority Interest	-	-	-
Total Debt	144	263	458
Long Term Provisions	2	3	8
Lease Liabilities	9	16	45
Other Long-Term Liabilities	9	24	29
Total Liabilities	185	428	876

Cash Flow Statement (Rs cr)	FY23	FY24	FY25
Cash flow from Operating Activities	5	44	43
Cash flow from Investing Activities	(24)	(69)	(198)
Cash flow from Financing Activities	32	25	149
Free Cash Flow	(19)	(16)	(127)

RATIOS			
	FY23	FY24	FY25
Profitability (%)			
Return on Capital Employed	10.5	38.0	40.6
Return on Equity	23.4	83.3	63.4
Margin Analysis (%)			
Gross Margin	11.1	24.1	26.1
EBITDA Margin	2.4	13.6	14.8
Net Profit Margin	0.8	9.2	9.9
Short-Term Liquidity			
Current Ratio (x)	1.1	1.1	1.2
Quick Ratio (x)	0.4	0.6	0.6
Avg. Days Sales Outstanding	12.5	59.3	67.6
Avg. Days Inventory Outstanding	89.2	97.5	148.9
Avg. Days Payables	41.4	71.5	111.0
Fixed asset turnover (x)	12.2	9.3	6.8
Debt-service coverage (x)	0.1	0.5	0.6
Long-Term Solvency			
Total Debt / Equity (x)	7.1	2.2	1.4
Interest Coverage Ratio (x)	1.6	10.3	7.6
Valuation Ratios			
EV/EBITDA (x)	360.2	37.0	17.7
P/E (x)	1,098.0	51.9	24.4
P/B (x)	257.0	43.2	15.4
EV/Sales (x)	8.8	5.0	2.6

**Valuation ratios are based on pre-issue capital at the upper price band*

Source: RHP, SSL Research

Peer Comparison – Financials (FY25)

Particulars (Rs cr)	Saatvik Green Energy Ltd.	Waaree Energies Ltd.	Premier Energies Ltd.
CMP (Rs)	465	3,580	1,083
Sales	2,158	14,444	6,519
EBITDA	320	2,722	1,781
Net Profit	214	1,860	929
Mkt Cap.	5,910	1,02,837	48,832
Enterprise Value	5,660	96,028	48,724
EBITDA Margin (%)	14.8	18.8	27.3
Net Margin (%)	9.9	12.9	14.3
RoCE (%)	40.6	26.0	29.8
RoE (%)	63.4	19.6	32.9
P/E (x)	27.6	55.3	52.6
EV/EBITDA (x)	17.7	35.3	27.4
EV/Sales (x)	2.6	6.6	7.5
Operational Metrics			
No. of Manufacturing Facilities	3 in Haryana	4 in Gujarat	2 in Telangana
Experience in PV module manufacturing	9 years	16 years	26 years
Operational Capacity (as of Apr'25)	~3.7 GW Modules	13.3 GW Modules (incl. 1.3 GW of Indosolar)	4.1 GW Modules, 2 GW Cells
Under-construction capacity	5 GW Module in Phase-1, 4.8 GW Cells in Phase-2	6 GW Modules 5.4 GW Cells Proposed- 6 GW modules, 6 GW cells, 6 GW Ingot-Wafer capacity	2 GW Wafer, 5 GW Cell, 5 GW Module
Cumulative Installed Capacity in EPC	150 MW	1,000+ MW	650+ MW

For Saatvik Green Energy Ltd., Market Cap, P/E(x), EV/EBITDA (x) and EV/Sales (x) are calculated on post-issue equity share capital based on the upper price band.

CMP of 16th September 2025 for peer companies

Source: RHP, SSL Research

SBICAP Securities Ltd.

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IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

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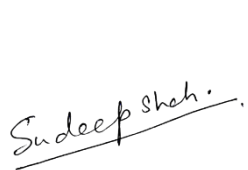
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